

complaint

Mr P complains Society of Lloyd's unfairly declined his claim for the loss of his caravan.

background

Mr P sadly lost his static caravan as a result of extensive flooding following a major storm. Society of Lloyd's declined Mr P's claim because loss or damage caused by flood was excluded from cover under his insurance policy. This exclusion was added as a specific endorsement on Mr P's policy schedule due to a higher perceived risk of flooding at the caravan park in question.

Mr P's representative argued that the storm caused the flood, which in turn caused the damage to the caravan. So he thinks Society of Lloyd's should pay Mr P's claim because the proximate cause of Mr P's loss was the storm, which *is* covered by the policy.

Society of Lloyd's said the nearby river burst due to a build-up of excess rainfall over a period of time prior to the storm. And it says the damage was caused by the flood rather than the storm as a single event and, so, isn't covered by Mr P's policy.

Our investigator didn't uphold Mr P's complaint. He didn't think Society of Lloyd's acted unfairly by declining Mr P's claim. He agreed that Mr P's loss was caused by the flood, which isn't covered.

Mr P disagreed. He still believes the real cause of the damage to his caravan was the storm and therefore Society of Lloyd's should pay his claim.

The case was referred to me for a final decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

It's not in dispute that a major storm occurred immediately prior to the flooding of the caravan park – or that Mr P's caravan was damaged by water from that flood.

The cover provided by Mr P's policy "*excludes all claims due to Flood*", which is clear in his policy schedule. The key issue I need to decide here is whether I think Society of Lloyd's should deal with the claim anyway by concluding the damage was actually caused by storm rather than flood.

While the storm may have contributed to the flood, I'm not persuaded it was the active and efficient cause of either the flood or the damage to the caravan. I say this because the heavy rainfall in the two months preceding the storm meant the extra rainfall it brought was falling on already saturated ground (according to the Met Office), and in an area that the business deemed at a higher risk of flooding from the outset – which was the reason for the specific endorsement in the first place. So it seems most likely to me that the heavy rainfall set in motion the chain of events that led to the flood – not the storm. And it's likely there was a risk of flooding in any event due to the build-up of rainfall over the preceding months.

Mr P's representative also argues that 'but for' the storm, the flood damage wouldn't have occurred. But, for the same reasons I've explained above, I don't agree. I'm not persuaded the storm caused the flood as a single event and there's an argument to say 'but for' the heavy rainfall prior to the storm, the river may not have burst its banks.

In addition, the damage to the caravan was caused solely by the flood waters – not by the storm; to the extent that, if there had been suitable barriers in place or the caravan had been beyond the furthest reaches of the flood, the damage wouldn't have occurred – in spite of the storm. On balance, I therefore don't agree that the storm was the proximate or main cause of the flood here or, most importantly, the damage to the caravan.

And I also need to bear in mind Society of Lloyd's made clear in Mr P's policy schedule that it didn't intend to cover any claims resulting from floods by including a specific endorsement to this effect.

Given this exclusion was made clear when Mr P bought the policy, and he agreed to those terms, I don't think requiring Society of Lloyd's to cover the flood damage in these circumstances would be a fair and reasonable outcome to this complaint.

In conclusion, while I realise this will come as a disappointment to Mr P and I have natural sympathy for his loss, I don't think Society of Lloyd's acted unfairly in declining Mr P's claim. So I won't be asking it to do anything further.

my final decision

For the reasons explained above, I don't uphold Mr P's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr P to accept or reject my decision before 5 July 2017

Joanna Brown
ombudsman